

AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF BKM INDUSTRIES LIMITED

(A Company under Corporate Insolvency Resolution Process (CIRP), Kolkata)

REPORT ON THE AUDIT OF THE STANDALONE IND AS FINANCIAL STATEMENTS

Initiation of Corporate Insolvency Process

The Hon'ble National Company Law Tribunal ("NCLT"), Kolkata Bench, admitted petition for initiation of Corporate Insolvency Process ("CIRP") under the provisions of the Insolvency and Bankruptcy Code, 2016 ("the Code") and related rules and regulations issued thereunder, filed by financial creditor Trimurti Associate Pvt. Ltd. under section 7 vide order no. CP(IB)/2078(KB)/2019 delivered on 30th December 2020 and appointed an Interim Resolution Professional ("IRP") Mr. Kanchan Dutta, to manage affairs of the Company in accordance with the provisions of Code. The Committee of Creditors of the Company appointed with the requisite voting share, in its meeting held on 28th January 2021 the IRP was confirmed as Resolution Professional ("RP"). The ex-RP Mr. Kanchan Dutta was replaced by the current RP Mr. Pratim Bayal by an order dated 17th Feb 2022. Upon initiation of the CIRP proceedings, the management of affairs of the Company and power of Board of Directors were vested with ex-RP and now with current RP. As per the order of Hon'ble NCLT Section 14 of the IB Code, moratorium is applicable until the resolution plan is approved by the Hon'ble NCLT or order of liquidation is passed by the Hon'ble NCLT.

QUALIFIED OPINION

We were engaged to audit the accompanying Ind AS Standalone Financial Statements of BKM Industries Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2021, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, notes and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements").

We do not express an opinion on the accompanying Ind AS Financial Statements of the Company. Because of the significance of matters described in the Basis of Qualified Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these Ind AS Financial Statements.

BASIS FOR QUALIFIED OPINION

The Company is undergoing CIRP w.e.f. 30th December 2020 and there were no operations in all six (6) manufacturing facilities. Ex- RP tried to take handover of all books and accounts of Corporate Debtor (CD) as part of CIRP process but could not receive any information/data from the representatives of the CD. Ex-RP had to file a non-cooperation application with Hon'ble NCLT mentioning this non-cooperation from the promoter/directors of the CD. The application is still waited for order by Hon'ble NCLT. The accounting/financial data of CD was stored in a cloud server maintained by NTT Global Data Centers & Cloud Infrastructures India Pvt. Ltd. formerly called as Netmagic IT Services Pvt. Ltd. The payments for the service provider were long overdue. The erstwhile RP had mentioned in his handover that outstanding payments for the accounting server remained unpaid as the same was not approved by the Committee of Creditors for

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

payment and consequently the entire accounting data stored in the cloud server was deleted by the service provider on grounds of long outstanding dues. Current RP requested the service provider that he will try to get his unpaid dues during the CIRP paid by CoC members and he should provide the backup financial information to him as it is a crucial data related to CD. But on his denial of the same RP had to file an application against the service provider which is also pending for order by Hon'ble NCLT.

Though the user id and password to access the accounting software was provided by the CD, the current RP could not obtain any data because the entire accounting data stored in the cloud server was deleted by the service provider on grounds of long outstanding dues. The current RP has to rely only on an excel spreadsheet provided by ex-RP, pertaining to the period 01st April 2020 till 31st December 2020 as a part of his handover which he claimed to be the only data dump received from the Corporate Debtor.

The Ind AS Standalone Financial Statements for the year under audit has been prepared by the current Resolution Professional only on the basis of aforementioned excel and bank statement of account maintained with PNB as a CIRP Bank Account. Under such circumstances, in the absolute absence of any evidence substantiating the operations of the Corporate Debtor during the aforementioned period of 01st April 2020 to 31st December 2020 we could not express any opinion in this regard.

EMPHASIS OF MATTERS

We draw attention to the following information pertaining to the Standalone Ind AS Financial Statements.

As per Note 59 of the audited standalone Ind AS financial statements for the year ended 31st March 2020 the Company had sold lease hold land and discontinued its manufacturing operations of one of its plant located at Bhopal district in the state of Madhya Pradesh. Accordingly, net profit/ (Loss) from such manufacturing operation of an amounting to INR (23) lakhs was disclosed separately in the Statement of Profit and Loss of the Company for the year ended March 31, 2020 as a separate item in accordance with Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations". Furthermore, the Property, Plant and Equipment (Refer Note No 5 to the Standalone Financial Statements) amounting to INR 67 lakhs with respect to this plant classified in accordance with Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations" and disclosed under "non-current assets held for disposal" in the Balance Sheet as at 31st March 2020. The same is carried forward as it is in the Balance Sheet as at 31st March 2021.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Ind AS financial statements for the financial year ended March 31, 2021.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREUPON

The Company's Board of Directors/ Resolution Professional/Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Standalone Ind AS financial statements and our auditor's report thereon. The Board of Directors report is expected to be made available to us after the date of this auditor's report. Our opinion on the Standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

In connection with our audit of the standalone financial statements, our responsibility is to read the other information when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. When we read the Company's annual report, if we conclude that there is a material misstatement of this other information, we are required to communicate the matter to those charged with governance.

RESPONSIBILITY OF MANAGEMENT AND RESOLUTION PROFESSIONAL AND THOSE CHARGED WITH GOVERNANCE FOR THE STANDLONE FINANCIAL STATEMENTS

The Company's Board of Directors/Resolution Professional / Management is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone Ind AS financial statements, the management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors and Management is also responsible for overseeing the Company's financial reporting process.

We are informed that the Resolution Professional, Mr. Pratim Bayal (IBBI Regn. Number: IBBI / IPA-003 / IP-N00213 / 2018-2019 / 12385) has approved these financial statements as a part of the compliance required under various acts without prejudice and without any guarantee on the accuracy, adequacy, correctness, completeness or reliability of the financial statements as the same pertains and includes a period prior to the CIRP Commencement Date.

We are also informed that such approval by the Resolution Professional of these financial statements is to comply with the provisions of the Code and this without prejudice to the rights and contentions of the Resolution Professional under applicable laws. The Resolution Professional reserves/retains his right to file avoidance transactions under Section 43,45, 66, and 50 of the Code which is already filed by him dated 21st June 2021 (awaited approval) and that such approval of these financial statements shall not be in conflict with such proceedings that may be initiated before relevant court / tribunal.

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE IND AS FINANCIAL STATEMENTS

Our responsibility is to conduct an audit of the Company's Ind AS Financial Statements in accordance with Standards on Auditing and to issue an auditor's report. However, because of the matters described in the Basis for Qualified Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these Ind AS Financial Statements.

We are independent of the Company in accordance with the Code of Ethics and provisions of the Act that are relevant to our audit of the Ind AS Financial Statements in India under the Act, and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics and the requirements under the Act.

OTHER MATTER

The comparative financial information of the Company for the year ended March 31, 2020 and the transition date opening balance sheet as at April 01, 2020 included in these Ind AS Financial Statements, are based on the previously issued statutory financial statements prepared in accordance with the Companies (Accounting Standards) Rules, 2006 audited by the predecessor auditor whose report for the year ended March 31, 2020 dated 28th July, 2020 expressed unmodified opinion for the year ended March 31, 2020 on those financial statements.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, and except for the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we give in "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by section 143(3) of the Act, we report to the extent applicable that:
 - a. As described in Basis for Qualified Opinion section of our report, we have sought but unable to obtain all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we are unable to state whether proper books of account as required by law have been kept by the Company;
 - c. In absence of proper books and accounts we cannot provide an opinion on the matter of agreement of the Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the statement of Changes in Equity and the Statement of Cash Flows dealt with by this report with the data provided.
 - d. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we are unable to state whether, the aforesaid Ind AS Financial Statements comply with the Indian Accounting Standards specified under section 133 of the Act read with relevant rules issued thereunder;
 - e. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

our report, we are unable to state whether they have an adverse effect on the functioning of the Company;

- f. The reservation relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion section of our report read with paragraph 2(b) above;
- g. With respect to the adequacy of the internal financial controls with reference to the financial statements of the Company and the operating effectiveness of such controls, we give our separate report in "Annexure B"
- h. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act;
The Company has not paid any managerial remuneration during the year. Hence, the provisions of section 197 of the Act read with schedule V are not applicable to the company.
- i. Other than the possible effects of the matters described in the Basis for Qualified Opinion section of our report, with respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, we cannot express our opinion with respect to the following:
 - i) Whether the Company has disclosed the pending litigations in its financial statements;
 - ii) Whether the Company has any long- term contracts, including derivative contracts.
 - iii) Whether there are any amounts which are required to be transferred to the investor education & protection fund by the Company.

For & Behalf of

M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

AMIT KUMAR SURANA & COMPANY
Chartered Accountants

Amit Kumar Surana

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

(CA. Amit Kumar Surana)

Proprietor

Membership No: 304957

UDIN: 23304957BGULYU4833

Place: Kolkata

Date: 11/01/2023

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097

Phone Number : 9830869851, 9432569279, 033 23352022

Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com

ANNEXURE-A

TO THE INDEPENDENT AUDITORS' REPORT

(Referred to in paragraph 1 under 'Report on Other Legal & Regulatory Requirements' section of our report of even date)

The Annexure referred to in Independent Auditors' Report to the members of BKM Industries Limited ("the Company") on the Standalone Financial Statements for the year ended 31st March 2021, we report that:

- (i) (a) (A) Since all accounting records and database of the Company had been deleted by the accounting service provider we cannot report on whether the Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
(B) On similar grounds we cannot report on whether the company is maintaining records on yearly basis for additions / deletions made during that year showing full particulars of intangible assets.
- (b) We cannot report on whether the Company has a regular programme of physical verification of its fixed assets, by which all fixed assets are verified in a phased manner
- (c) According to information and explanations given by the RP Mr. Pratim Bayal, the title deeds/lease deeds of immovable properties included in property, plant and equipment are held in the name of the Company except they are held in the physical possession of the lenders/Banks to whom it was mortgaged.
- (d) As informed to us, the RP has not revalued CD's Property, Plant and Equipment (including Right of Use assets) or Intangible Assets or both during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, no proceedings have been initiated or are pending against the company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 (previously known as Benami Transactions (Prohibition) Act, 1988) and rules made thereunder.
- (ii) (a) We cannot report on whether the inventory has been physically verified during the year;
(b) We cannot report on whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five (5) crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company;
- (iii) We cannot report on whether the company has made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties and hence reporting under clause (iii) of the Order is not possible.
- (iv) We cannot report on whether, the Company has complied with the provisions of section 185 and 186 of the

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

Act in respect of grant of loans, making investments and providing guarantees and securities, as applicable.

- (v) We cannot report on whether, the Company has accepted any deposits from public and accordingly reporting under clause (v) of paragraph 3 of the Order is not possible.
- (vi) We could not review any books of account and hence we cannot report on whether the Corporate Debtor is required to maintain books of account pursuant to the rules prescribed by the Central Government for maintenance of cost records under sub-section (1) of section 148 of the Act
- (vii) (a) According to the information and explanations given to us by the RP, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including provident fund, employees' state insurance, income- tax, sales tax, service tax, duty of customs, duty of excise, CGST, SGST, IGST, UTGST, Value Added Tax, Cess and other material statutory dues could not be regularly deposited during the year by the Company as the CD is under CIRP and no payments can be made by the IRP/RP during the CIRP period until approval is received from the CoC members.
- (b) According to the information and explanations given to us, the following dues of Excise Duty, Service Tax, Entry Tax and Other Dues have not been deposited by the Company on account of disputes:

Name of the Statute	Nature of the Dues	Amount involved (Rs. in INR)	Period to which the amount relates	Forum where Dispute is pending
Central Excise & CGST Act	Excise Duty & Penalty	95,91,956.00	2017-18	Commissionerate Audit-II, Kolkata
Central Excise & CGST Act	Excise Duty & Penalty	64,779.00	2017-18	Asst. Commissioner of CGST & C. Ex, Bankura Division
Central Excise Act, 1944	Excise Duty & Penalty	3,502,788.00	1991-99	Superintendent of Central Excise, Range-9
Central Excise Act, 1944	Excise Duty & Penalty	1,604,645.00	2012-13	Addl. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	1,729,833.00	2014-15	Jt. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	29,504,533.00	2010-11	Commissioner of C. Ex., Hyderabad-I
Central Excise Act, 1944	Excise Duty & Penalty	2,558,384.00	1991-92	Commissioner of Central Excise, Kolkata
Central Excise Act, 1944	Excise Duty & Penalty	2,856,822.00	1990-94	Collectorate of C. Ex, Cal-II
Central Excise Act, 1944	Excise Duty & Penalty	4,966,246.00	1991-94	Superintendent, C. EX of HND
Central Excise Act, 1944	Excise Duty & Penalty	1,072,447.00	1992-15	A.C.C. Ex., CGR-I
Central Excise Act, 1944	Excise Duty & Penalty	568,850.00	2007-11	A.C., C.E. DGP
Central Excise Act, 1944	Excise Duty & Penalty	1,424,775.00	2007-08	Jt. Commr, Bolpur

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
 Phone Number : 9830869851, 9432569279, 033 23352022
 Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

CentralExciseAct,1944	ExciseDuty&Penalty	835,713.00	1998-99	AdditionalCommissioner,CaI-IV
CentralExciseAct,1944	ExciseDuty&Penalty	1,728,620.00	1993-04	AdditionalCommissioner,C.ExofCal-II
CentralExciseAct,1944	ExciseDuty&Penalty	117,147.00	2013-14	Asstt.Commissioner,C.Ex,HND-II
CentralExciseAct,1944	ExciseDuty&Penalty	266,145.00	2011-12	D.C.,C.E,DGP
CentralExciseAct,1944	ExciseDuty&Penalty	954,876.00	1995-97	Dy.Commissioner,C.ExofCal-II
CentralExciseAct,1944	ExciseDuty&Penalty	31,262.00	2000-12	JointCommissioner,C.Ex,CaI-IV
CentralExciseAct,1944	ExciseDuty&Penalty	2,35,55,830.00	2015-16	CentralExciseCommissionerate,kol-IV
CentralExciseAct,1944	ExciseDuty&Penalty	46,425.00	2016-17	Asst.CommissionerofC.E-BankuraDivision
CentralExcise&CGSTAct	ServiceTax	2,69,000.00	2017-18	Asst.CommissionerofCGST&CentralExcise,DurgapurAudit
CentralExciseAct,1944	ServiceTax	31,69,656.00	2009-10	Asst.Commissioner,CE&STHaldia-Div.I
MPIndustrialRelationAct,1960	Others	2,13,259.00	2014-15	LabourCourt, Bhopal
TheWBEntryTaxAct	EntryTax	70,66,085.00	2011-17	HighCourt,Kolkata

- (viii) We cannot report on whether any transactions not recorded in the books of account have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
- (ix) (a) The Company has defaulted in repayment of loans or borrowings to banks/ financial institution repayment as at balance sheet date as mentioned below:

Name of the Bank	Date of Overdue Started	Amount claimed under CIRP (INR)
State Bank of India	20.09.2018	46,29,13,376
ICICI Bank Limited	22.09.2018	15,52,73,428
IDBI Bank Limited	23.10.2018	14,15,32,787
Indian Bank	30.09.2018	29,13,40,013
Bank of Baroda	01.07.2019	7,54,57,203
Indiabulls Housing Finance (assigned its debt to Assets Care & Reconstruction Enterprises Ltd)	01.04.2019	24,26,83,117
TOTAL		1,36,91,99,924

- (b) We cannot report on whether the company is a declared willful defaulter by any bank or financial

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

institution or other lender;

(c) We cannot report on whether the term loans taken by the Company have been applied for the purpose for which they were raised;

(d) We cannot report on whether funds raised on short term basis have been utilized for long term purposes;

(e) We cannot report on whether the company has taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures;

(f) We cannot report on whether the company has raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies, if so, give details thereof and also report if the company has defaulted in repayment of such loans raised.

(x) (a) the Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year.

(b) According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Therefore, the provision of clause 3(xb) of paragraph 3 of the Order is not applicable to the Company.

(xi) (a) According to the information and explanations given to us, RP has filed PUF transactions application under IB Code against promoter/directors of the CD. No fraud by its officers or employees has been noticed or reported during the course of our audit.

(b) No report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As per our information and according to the explanations given to us, no whistle blower complaints were received by the company during the year.

(xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, the provisions of clause (xii) (xii)(a), (xii)(b) and (xii)(c) of para 3 of the said order are not applicable to the Company.

(xiii) We cannot report on whether the company has entered into any transactions with the related parties and whether they are in compliance with section 177 & 188 of the Act where applicable.

(xiv) (a) As per the information received from the RP there is no internal audit system;

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097

Phone Number : 9830869851, 9432569279, 033 23352022

Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

- (b) clause (xiv) of paragraph 3 of the Order is not applicable as no internal audit was done.
- (xv) We cannot report on whether the company has entered into any non-cash transactions with directors or persons connected with them.
- (xvi) (a) According to the information and explanations given to us, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause (xvi) of paragraph 3 of the Order is not applicable.
- (b) According to the information and explanations given to us by the management/RP, the company has not conducted any Non-Banking Financial or Housing Finance activities without a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) According to the information and explanations given to us by the management, the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.
- (d) According to the information and explanations given to us by the management, the Group does not have any CIC as part of the Group, hence clause (xvi)(d) of paragraph 3 of the said order is not applicable to the company.
- (xvii) In the absence of proper books and accounts and information we cannot report on whether the company has incurred cash losses in the financial year and in the immediately preceding financial year;
- (xviii) There has been no resignation of the statutory auditors of the company during the year.
- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and in our knowledge of the Board of Directors and management plans we are of the opinion that there exists a material uncertainty exists as on the date of the audit report that company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one (1) year from the balance sheet date due to Corporate Insolvency Resolution Process in progress.
- (xx) Since the report is being issued for standalone financial statements of the Company therefore reporting under clause (xxi) is not applicable.



Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com

AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

For & Behalf of

M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants

Amit Kumar Surana

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

(CA. Amit Kumar Surana)

Proprietor

Membership No: 304957

UDIN: 23304957BGULYU4833

Place: Kolkata

Date: 11/01/2023

ANNEXURE-B

TO THE INDEPENDENT AUDITORS' REPORT

Referred to in paragraph (g) under the heading 'Report on Other Legal and Regulatory Requirements' of our report of even date to the members of BKM Industries Limited for the year ended March 31, 2021

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of subsection 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls with reference to Standalone Financial Statements of **BKM Industries Limited**, ("the Company"), as of 31 March 2021 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's/RP Responsibility for Internal Financial Controls

The Corporate Debtor's powers of Board of Directors is suspended due to NCLT proceedings and the Resolution Professional appointed by the Hon'ble NCLT is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097

Phone Number : 9830869851, 9432569279, 033 23352022

Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to the standalone Ind AS financial statements of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by the ICAI and prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to the standalone Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the standalone Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to the standalone Ind AS financial statements included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

Meaning of Internal Financial Controls with reference to these standalone Ind AS financial statements

A company's internal financial control with reference to these standalone Ind AS financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to these standalone Ind AS financial statements includes those policies and procedures that

- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the standalone Ind AS financial statements.

Inherent Limitations of Internal Financial Controls with reference to Standalone Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to these standalone Ind AS financial statements, including the possibility of collusion or improper management override of controls,

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097
Phone Number : 9830869851, 9432569279, 033 23352022
Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these standalone Ind AS financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these standalone Ind AS financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

Due to limitation to access required information and data of the company, we could not obtain sufficient appropriate audit evidence to provide a basis for our audit opinion on the Company's internal financial controls system with reference to standalone Ind AS financial statements.

For & Behalf of

M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants

Amit Kumar Surana

AMIT KUMAR SURANA
Proprietor

M. No. - 304957

F. R. No. - 332194E

(CA. Amit Kumar Surana)

Proprietor

Membership No: 304957

UDIN: 23304957BGULYU4833

Place: Kolkata

Date: 11/01/2023

Address : C-16, Cluster -9, Purbachal Salt Lake, Kolkata- 700097

Phone Number : 9830869851, 9432569279, 033 23352022

Email: amit_surana_04@yahoo.com, amitsurana04@gmail.com

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

BALANCE SHEET

(INR' Lakhs)

Particulars	Note No.	As at 31st-March-21	As at 31st-Mar-20
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	1	4,432.73028	4,925.84253
(b) Capital work-in-progress	1	344.44858	344.44858
(c) Intangible assets	1	4.95552	13.98469
(d) Intangible assets under development		-	-
(e) Financial Assets			
(i) Investments	2	4,319.92022	4,319.92022
(ii) Trade receivables	3	-	-
(iii) Loans	4	439.56669	428.81479
(iv) Other financial assets	5	12.32281	12.32281
(f) Deferred tax assets (net)		-	-
(g) Other non-current assets	6	848.22205	859.42379
2. Current assets			
(a) Inventories	8	2,193.00675	2,193.00675
(b) Financial Assets			
(i) Investments		-	-
(ii) Trade receivables	3	4,958.38275	5,024.14440
(iii) Cash & cash equivalents	9	8.96241	151.87956
(iv) Bank balances other than	5	0.62866	0.62866
(v) Loans	4	-	-
(vi) Other financial assets	5	-	-
(c) Current Tax Assets (net)	10	22.90210	22.90210
(d) Other current assets	6	977.18603	981.91024
3. Non-current assets held for disposal			
	1	66.97910	66.97910
TOTAL ASSETS		18,630.21395	19,346.20822
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	11	655.34050	655.34050
(b) Other Equity	12	2,254.70143	3,378.21997
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	13	770.55276	769.40695
(ii) Trade payables	14		
outstanding dues of		-	-
outstanding dues of		-	-
creditors		-	-
(iii) Other financial liabilities	15	35.33000	35.33000
(b) Provisions	16	291.60785	330.31024
(c) Deferred tax liabilities (net)	7	151.00000	194.00000
(d) Other non-current liabilities	17	152.86963	129.89824
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	13	12,411.31960	12,270.99839
(ii) Trade payables	14		
outstanding dues of		-	-
outstanding dues of		-	-
creditors		-	-
(iii) Other financial liabilities	15	136.45417	40.96656
(b) Other current liabilities	17	996.25950	761.51351
(c) Provisions	16	713.17153	718.52204
		61.60698	61.60698
TOTAL EQUITY AND LIABILITIES		18,630.21395	19,346.11338

Notes forming an integral part of financial statements 1 to 29

As per our report of even date attached
For M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : 3332194E

CA. Amit Kumar Surana

(Proprietor)

Membership No: 304957

UDIN: 23304957BQULYU4833

B K Agrawal

(Director)
DIN:520558

For and on behalf of the Board

Navneet Manaksia

(Director)
DIN:438612

Date : 02.01.2023

Place: Kolkata

Pratim Bayal
(Resolution Professional)



BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

STATEMENT OF PROFIT AND LOSS

(INR' Lakhs)

Particulars	Note No.	For the year ended 31st-March-21	For the year ended 31st March,2020
Income			
I. Revenue from Operations	18	-	373.89916
II. Other Income	19	16.88340	192.08782
III. Other Gains/(Losses)	20	(214.35181)	302.24610
IV. Rounding Off		0.09484	-
Total Income		(197.37357)	868.23309
IV. Expenses			
(a) Cost of Materials Consumed	21a	-	223.15340
(b) Changes in Inventories (increase) /decrease	22	-	46.97661
(c) Purchase of Stock In Trade	21b	-	-
(d) Depreciation and Amortization expenses	1	266.75212	339.89801
(e) Operating and Manufacturing Expenses	23	0.11969	82.94422
(f) Employee Benefit Expenses	24	93.07537	300.66812
(g) Finance cost	25	242.13472	540.86244
(h) *Other Expenses	26	373.12942	2,609.66552
Total expenses		974.21132	4,145.16832
V. Profit Before exceptional items and tax		(1,171.58490)	(3,276.93523)
Exceptional items		-	-
VI. Profit Before Taxes		(1,171.58490)	(3,276.93523)
VII. Tax Expenses			
(a) Current Tax		-	-
(b) Deferred Tax Expenses/(Income)	29	(44.40946)	(440.03501)
VIII. Profit (Loss) from continuing operations		(1,127.17544)	(2,836.90022)
Profit (loss) from discontinued operations before tax		-	(23.00000)
Tax expense of discontinued operations		-	-
IX. Profit (Loss) from discontinued operations (after tax)		-	(23.00000)
X. Profit (Loss) for the year		(1,127.17544)	(2,859.90022)
XI. Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans		5.06636	6.75514
(ii) Income tax relating to items that will not be reclassified to profit or loss :			
(a) on Revaluation Surplus on Property, Plant & Equipment		-	-
(b) on Re-measurement of defined employee benefit plans		(1.40946)	(1.65377)
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)		-	-
(ii) Income tax relating to items that will be reclassified to profit or loss :			
XII. Total Other comprehensive Income after tax		3.65690	5.10137
XIII. Total comprehensive income for the period		(1,123.51854)	(2,854.79885)
XIV. Earnings per equity share (for continuing operation):			
(1) Basic		(1.71998)	(4.32890)
(2) Diluted		(1.71998)	(4.32890)
XV. Earnings per equity share (for discontinued operation):			
(1) Basic		-	(0.03510)
(2) Diluted		-	(0.03510)
XVI. Earnings per equity share (for continuing & discontinued operations):			
(1) Basic		(1.72998)	(4.37399)
(2) Diluted		(1.72998)	(4.37399)

Notes forming an integral part of financial statements 1 to 29

*The opening Bank Balance as on 31st December 2020 was provided for by the RP as he has not received any balance from the mangamnet of the CD
Only CIRP Bank Account is maintained.

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. :- 832194E

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957
UDIN: 23304957BCULY04833

For and on behalf of the Board

B K Agrawal

(Director)
DIN:520558

Navneet Manaksia

(Director)
DIN:438612

Date : 02.01.2023
Place: Kolkata

Pratim Bayal
(Resolution Professional)



BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

STATEMENT OF CHANGES IN EQUITY

(INR ' Lakhs)

A. Equity Share Capital

Particulars	Amount
As at 31 March 2019	655-34050
Changes in equity share capital	-
As at 31 March 2020	655-34050
Changes in equity share capital	-
As at 31 March 2021	655-34050

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited				
	Reserves & Surplus			Other Comprehensive Income	Total other equity
	Capital Reserves	General Reserves	Securities Premium	Retained Earnings	Revaluation Reserves
Balance at 31 March 2019	5.00000	6,169.58927	4,171.19712	(5,572.76757)	1,460.00000
Profit for the year	-	-	-	(2,859.90022)	-
Other comprehensive income	-	-	-	5.10137	-
Total comprehensive income for the year	-	-	-	(2,854.79885)	-
Other Adjustments	-	-	-	-	-
Issue of equity shares	-	-	-	-	-
Dividends paid	-	-	-	-	-
Balance at 31 March 2020	5.00000	6,169.58927	4,171.19712	(8,427.56641)	1,460.00000
Profit for the year	-	-	-	(1,127.17544)	-
Other comprehensive income	-	-	-	3.65690	-
Total comprehensive income for the year	-	-	-	(1,123.51854)	-
Other Adjustments	-	-	-	-	-
Issue of equity shares	-	-	-	-	-
Dividends paid	-	-	-	-	-
Balance at 31 March 2021	5.00000	6,169.58927	4,171.19712	(9,551.08496)	1,460.00000
					2,254.70143

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants

Firm Regn. No. : -332194E

Amit Kumar Surana

CA. Amit Kumar Surana

(Proprietor)

Membership No: 304957

UDIN: 23304957BQULYU4833

Date : 02.01.2023
Place: Kolkata

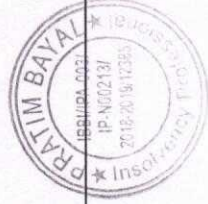
For and on behalf of the Board

B K Agrawal
B K Agrawal
(Director)
DIN:520558

Navneet Manaksia
Navneet Manaksia
(Director)
DIN:438612



Pratim Bayal
(Resolution Professional)



BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

STATEMENT OF CASH FLOWS

(INR' Lakhs)

Particulars	Year Ended 31st March 2021	Year Ended 31st March 2020
A Operating Activities		
Profit before tax from continuing operations	(1,171.58490)	(3,276.93523)
Profit/(loss) before tax from discontinuing operations	-	(23.00000)
Profit before tax	(1,171.58490)	(3,299.93523)
Adjustments for:		
Depreciation on Property, Plant and Equipment	258.00000	334.00000
Amortisation of intangible assets	9.02917	11.17125
Finance Cost (including fair value changes in financial instruments)	242.00000	541.00000
Net foreign exchange differences	55.00000	(155.00000)
Interest Income (including fair value changes in financial instruments)	(17.00000)	(192.00000)
Dividend Income	-	-
Provision for Gratuity	-	39.00000
(Profit)/Loss on sales of Property, Plant and Equipment	159.00000	(147.00000)
Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	90.00000	1,970.00000
Changes due to amortisation and interest on lease-hold assets under Ind AS-116	22.97139	129.89824
Operating profit / (loss) before working capital changes	(351.58434)	(768.86575)
Working capital adjustments:		
Decrease/(Increase) in Trade receivables	65.76165	141.04087
Decrease/(Increase) in Loans	(10.59000)	271.50000
Decrease/(Increase) in Inventories	-	225.00000
Decrease/(Increase) in Other financial assets	-	66.00000
Decrease/(Increase) in Other current assets	(50.00000)	61.00000
(Decrease)/Increase in Trade payables	16.00000	30.00000
(Decrease)/Increase in Other financial liability	234.00000	84.00000
(Decrease)/Increase in Other current liability	(6.00000)	181.00000
(Decrease)/Increase in Provisions	(33.00000)	8.00000
	(135.41269)	298.67513
Income taxes paid	-	(3.00000)
NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	(135.41269)	295.67513
B Investing Activities		
Purchase of Property, Plant and Equipment	-	(127.72566)
Purchase of Intangible Assets	-	-
Changes in Capital Work In Progress	-	-
Other non-current assets	0.20000	(240.89147)
Sale of Property, Plant and Equipment	76.00000	176.00000
(Purchase)/Sale of Investments	-	-
Interest received (finance income)	17.00000	23.00000
Dividend received	-	-
NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	93.20000	(169.61713)
C Financing Activities		
Proceeds from issue of equity shares	-	-
Interest paid	(242.00000)	(404.00000)
Proceeds/(Repayment) from borrowings	142.00000	263.00000
Dividends paid including Dividend Distribution Tax	-	-
NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	(100.00000)	(141.00000)
Net increase (decrease) in cash and cash equivalents (A+B+C)	(142.21269)	(14.94200)
Cash and cash equivalents at the beginning of the year	152.11482	167.05682
Cash and cash equivalents at year end	9.90213	152.11482

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached

For M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

Amit Kumar Surana
CA. Amit Kumar Surana
(Proprietor)

Membership No: 304957

UDIN: 23304957BCLCLYU4833

B K Agrawal
B K Agrawal

(Director)
DIN:520558

Navneet Manaksia
Navneet Manaksia

(Director)
DIN:438612

Pratim Bayal
Pratim Bayal
(Resolution Professional)

Date : 02.01.2023

Place: Kolkata



Notes to the Standalone Financial Statements

Note - 1: PROPERTY, PLANT AND EQUIPMENT

(INR' Lakhs)

Particulars	Freehold Land	Leasehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work-in- Progress	Intangible Assets
Gross Carrying Amount										
At 31st March, 2019	2,267,14319	32,12436	1,644,23532	484,97887	6,933,45333	277,38414	331,52442	11,969,84363	344,44858	78,88585
Additions/Adjustments during the year	-	-	127,72566	-	-	-	-	127,72566	-	-
Disposals/Capitalised during the year	-	(32,12436)	-	-	-	-	-	(32,12436)	-	-
At 31st March, 2020	2,267,14319	-	1,771,96098	484,97887	6,933,45333	277,38414	331,52442	12,066,44493	344,44858	78,88585
Additions/Adjustments during the year	-	-	(191,69116)	-	-	-	-	-	-	-
Disposals/Capitalised during the year	-	-	1,580,26982	484,97887	6,933,45333	277,38414	(170,41868)	(382,10985)	-	-
At 31st March, 2021	2,267,14319	-	1,580,26982	484,97887	6,933,45333	277,38414	162,10573	11,704,33508	344,44858	78,88585
Accumulated Depreciation and Impairment										
At 31st March, 2019	-	1,98050	860,07396	446,86957	4,974,05617	256,66717	201,64004	6,742,28741	-	53,72991
Depreciation charge for the year	-	1,41038	76,91112	5,20414	224,17815	5,66724	21,35574	333,72676	-	11,17125
Disposals during the year	-	(3,39087)	-	-	-	-	-	(3,39087)	-	-
At 31st March, 2020	-	-	936,98507	452,07370	5,198,23432	263,33441	222,99578	7,072,62330	-	64,90116
Depreciation charge for the year (Refer Note III below)	-	-	37,72824	3,54151	199,51931	3,19218	15,74151	257,72295	-	9,02917
Disposals during the year	-	-	(37,93888)	-	-	-	(88,78167)	(126,72055)	-	-
At 31st March, 2021	-	-	936,77444	454,61521	5,396,75383	265,52659	149,95563	7,204,62570	-	73,93033
Net Book Value At 31st March, 2021	2,267,14319	-	643,49538	30,36366	1,535,69950	10,85755	12,15011	4,499,70938	344,44858	4,95552
Net Book Value At 31st March, 2020	2,267,14319	-	834,97591	32,90517	1,735,21901	14,04973	108,52864	4,992,82163	344,44858	13,98469
Depreciation rate			8	13	11	30	16			44
Depreciation for Jan-March 2021	-	-	2	0	45	1	1			1
Net Book Value:										

Particulars	As at 31st March 2021 INR Lakhs	As at 31st March 2020 INR Lakhs
Property, Plant and Equipment (PPE)		
(a) PPE other than held for sale	4,432,73028	4,925,84253
(b) PPE held for sale (Refer Note V below)	66,97910	66,97910
Capital Work-in-progress	344,44858	344,44858
Intangible Assets	4,95552	43,98469

Depreciation expenses of INR 5.30 lakhs during the period ended 31st March, 2020 allocated to operation discontinued has been included in the Profit (loss) from discontinued operations before tax in the Statement of Profit and Loss as a separate line item.

(IV) The details of retired asset as at end of each period is as below :-

Particulars	As at 31st March 2021 INR Lakhs	As at 31st March 2020 INR Lakhs
Property, Plant and Equipment		
Capital Work-in-progress	202,06130	202,06130
Intangible Assets	-	-

(V) The details of Assets held for sale as at end of each period is as below :-

Particulars	As at 31st March 2021 INR Lakhs	As at 31st March 2020 INR Lakhs
(i) Property, Plant and Equipment		
Opening Balance/ Deemed Cost	66,97910	9,84844
(+) Additions	-	66,97910
(-) Deletions	-	(9,84844)
Carrying Amount/Deemed Cost	66,97910	66,97910

(VI) The details of net book value of Buildings (Freehold & leasehold) as at end of each period is as below :-

Particulars	As at 31st March 2021 INR Lakhs	As at 31st March 2020 INR Lakhs
(i) Free-hold Building in accordance with Ind AS 16	519,57173	721,61971
(ii) Lease-hold Building in accordance with Ind AS 116	123,92564	113,35620
Net book value of Buildings (Freehold & leasehold)	643,49538	834,97591

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 2: INVESTMENTS

Particulars	As at 31st March 2021	As at 31st March 2020
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	3,239.26830	3,239.26830
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	499.00000	499.00000
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	499.00000	499.00000
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	81.65192	81.65192
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	1.00000	1.00000
Total	4,319.92022	4,319.92022
(i) Non-current	4,319.92022	4,319.92022
(ii) Current	-	-
Investments measured:	4,319.92022	4,319.92022
(a) At Amortized Cost	4,319.92022	4,319.92022
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	4,319.92022	4,319.92022

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

Note - 3: TRADE RECEIVABLES

(INR' Lakhs)

Particulars	As at 31st March 2021	As at 31st March 2020
Secured, considered good		
(i) Non-Current		
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	7,139.82827	7,205.58991
Less: Trade Receivable Written off	-	-
Less: Impairment loss/(gain) on financial assets	(2,182.44551)	(2,182.44551)
Sub-Total	4,958.38275	5,024.14440
Total	4,958.38275	5,024.14440

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 4: LOANS

Particulars	As at 31st March 2021	As at 31st March 2020
Secured, considered good		
(i) Non Current		
Security Deposits	8.78191	8.78191
Inter-corporate Loans & Deposits*	430.78478	420.03288
Deposits with Government Authorities	-	-
Sub-Total	439.56669	428.81479
(ii) Current		
Security Deposit	-	-
Inter-corporate Loans & Deposits*	-	-
Sub-Total	-	-
Total	439.56669	428.81479

*Inter-corporate loans and deposits includes related parties and other corporates.

Note - 5: OTHER FINANCIAL ASSETS

Particulars	As at 31st March 2021	As at 31st March 2020
(i) Non-Current		
Other bank balances*	-	-
Sub-Total	-	-
Other financial assets		
(a) Application money paid towards subscription of securities	12.32281	12.32281
(b) Others	-	-
Sub-Total	12.32281	12.32281
Total	12.32281	12.32281
(ii) Current		
Other bank balances*	0.62866	0.62866
Sub-Total	0.62866	0.62866
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	-	-
Total	0.62866	0.62866

*Details of other balances with banks.

Particulars	As at 31st March 2021	As at 31st March 2020
Earmarked Balances with Banks*	0.62866	0.62866
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks**	-	-
Total	0.62866	1.62866

Note - 6: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2021	As at 31st March 2020
(i) Non-Current		
Capital Advance	-	-
Security Deposit	-	-
Balances with Government Authorities	6.50511	6.50511
Prepaid Lease Rentals	840.71694	851.91868
Other Loans & Advances	-	-
Sub-Total	848.22205	859.42379
(ii) Current		
Capital Advance	-	-
Security Deposit	-	-
Balances with Government Authorities	417.68354	422.19774
Other Loans & Advances	558.50249	559.71249
Sub-Total	977.18603	981.91024
Total	1,825.40809	1,841.33402

Note - 7: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2021	As at 31st March 2020
Property, Plant and Equipment	(928.00000)	(893.00000)
Intangible Assets	(1.00000)	(3.00000)
Employee Benefit Obligation	99.00000	96.00000
MAT Credit Entitlement	72.00000	72.00000
Impairment loss/(gain) on financial assets	607.00000	534.00000
Total	(151.00000)	(194.00000)

Note - 8: INVENTORIES

Particulars	As at 31st March 2021	As at 31st March 2020
(a) Raw Materials	1,174.49815	1,174.49815
(b) Work-in-Process	331.44066	331.44066
(c) Finished Goods	327.27562	327.27562
(d) Stores & Spares	204.06798	204.06798
(e) Stock in Transit	-	-
(f) Scraps	156.72433	156.72433
Total	2,193.00675	2,193.00675

Note - 9: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2021	As at 31st March 2020
Balances with banks		
(i) Cash at bank	-	149.03843
(ii) Cash at PNB	5.18643	-
(ii) Cash on hand	4.40464	4.46979
(iii) Cheques on hand	-	-
Sub Total	9.59107	152.50822
Less : Amount grouped under other bank balances	0.62866	0.62866
Total	8.96241	151.87956

Note - 10: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2021	As at 31st March 2020
Income tax payable	-	-
Income tax receivable	22.90210	22.90210
Total	22.90210	22.90210

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 11: SHARE CAPITAL

Particulars	As at 31st March 2021	As at 31st March 2020
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2020: 75000000) Equity Shares of Rs.1/- each	750.00000	750.00000
	750.00000	750.00000
b) Issued, Subscribed and Paid Up Equity Shares:		
65534050 (on 31st March, 2020: 65534050) Equity Shares of Rs. 1 each fully paid up	655.34050	655.34050
Total	655.34050	655.34050

Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2021	As at 31st March 2020
i) Shares outstanding at the beginning of the financial year	6,55,34,050.00000	6,55,34,050.00000
ii) Issued during the year	-	-
iii) Shares forfeited/brought back/cancelled during the year	-	-
iv) Shares outstanding at the end of the financial year	6,55,34,050.00000	6,55,34,050.00000

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2021		As at 31st March 2020	
	% held	No.of Shares	% held	No.of Shares
Basant Kumar Agrawal	22%	1,44,55,940.00000	22%	14455940
Navneet Manaksia	14%	95,00,000.00000	14%	9500000
Aditya B Manaksia	14%	95,00,000.00000	14%	9500000
ICICI Bank Limited	10%	65,53,405.00000	10%	6553405

(a) The Company has a single class of equity shares having par value of Re. 1 each. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees (INR). The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

(b) In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(c) The company is not a subsidiary company.

(d) In terms of the scheme of arrangement under section 391 to 394 of the Companies Act, 1956 ('the Scheme') between Manaksia Limited, Manaksia Industries Limited ('the Company') and other three transferee Companies, Manaksia Limited has demerged its business and undertakings namely, Aluminium Undertaking, Steel Undertaking, CMMC Undertaking and Packaging Undertaking to four separate transferee Companies. In terms of the Scheme 65,534,050 equity shares of Re. 1/- each fully paid-up, of the Company have been issued payment being received in cash, in the ratio of 1 (one) fully paid-up equity share of Re. 1/- each of the Company for every equity share held in Manaksia Limited.

(e) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

(f) No Shares has been reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.

(g) For the period of five years immediately preceding the date at which the balance sheet is prepared, the company has not:

- a.Issued class of shares allotted as fully paid up pursuant to contract without payment being received in cash;
- b.Issued class of shares allotted as fully paid up by way of bonus shares; and
- c.Issued class of shares bought back.

Note - 12: OTHER EQUITY

Particulars	As at 31st March 2021	As at 31st March 2020
a. Capital Reserve		
Opening Balance	5.00000	5.00000
Less: Transferred to Retained Earnings		-
Sub Total	5.00000	5.00000
b. Securities Premium		
Opening Balance	4,171.19712	4,171.19712
Add: Additions during the year		-
Sub Total	4,171.19712	4,171.19712
c. General Reserves		
Opening Balance	6,169.58927	6,169.58927
Add: Addition during the year	-	-
Less: Dividend paid	-	-
Sub Total	6,169.58927	6,169.58927
d. Revaluation Surplus		
Opening Balance	1,460.00000	1,460.00000
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Income tax effect thereof	-	-
Sub Total	1,460.00000	1,460.00000
e. Retained Earnings		
Opening Balance	(8,427.56641)	(5,572.76757)
Add: Profit/(Loss) during the year	(1,127.17544)	(2,859.90022)
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	3.65690	5.10137
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Other Adjustments	-	-
Sub Total	(9,551.08496)	(8,427.56641)
Total	2,254.70143	3,378.21997

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 13: BORROWINGS

Particulars	As at 31st March 2021	As at 31st March 2020
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Term Loan From others	-	-
Unsecured Loan		
(a) Loans from Bank	-	-
(b) Loans from Others	-	-
(c) Deferred Sales Tax Liability	-	-
Total non-current borrowings	<u>770.55276</u>	<u>769.40695</u>
(ii) Current Borrowings	<u>770.55276</u>	<u>769.40695</u>
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions	3,187.17016	3,115.55549
(b) Buyers Credit	7,460.85915	7,486.71372
Unsecured Loan		
From Others	1,763.29029	1,667.72918
Total current borrowings	<u>12,411.31960</u>	<u>12,270.99839</u>

- (a) The Current part of Long Term Borrowings, as above, have been shown under Other financial liabilities (Note No 15), as Current Maturities of long term debt.
- (b) The Company's Secured Corporate Loan facilities are secured by First Charge on Fixed Asset (Movable and Immovable) of the Company. The amount is further secured by second charge on the current assets of the Company, both present and future.
- (c) Company's Loan against property from NBFC is secured by Charge against properties of subsidiary companies - Jiwanyoti Vanijya Pvt Ltd and Glitter Agencies Pvt Ltd. The amount is further secured by pledge of company's investment in Equity shares of those companies. Rate of interest of this kind of loan is LFRF (LAP Floating reference rate notified time to time) -7.25% margin. These loans are repayable in Equated Monthly Instalments over a period of 10 years.
- (d) Vehicles loan are secured by charge against the vehicles obtained from those loans. Rate of interest on vehicles loans ranges between 8.5% To 10% p.a. These loans are repayable between 3 to 5 years from date of disbursement.
- (e) The Company's Working Capital facilities from banks are secured by First Charge on the current assets and First Charge on Fixed Assets of unit at Bankura ranking pari passu with the respective Working Capital Bankers. The amount is further secured on second charge basis on fixed assets of the Company (except at Bankura unit) ranking pari passu with the respective Working Capital Bankers.
- (f) The sales tax loan is repayable in annual instalments which range from a maximum of INR 167.47 lakhs to a minimum of INR 21.70 lakhs over the period from 1998-1999 to 2012-2013. The amount outstanding is free of interest.
- (g) During the financial year 2018-19 an amount of INR 3,27,67,025 brought in by promoters of the company by way of invocation of pledged shares in pursuance of loan from ICICI Bank Limited.

Note - 14: TRADE PAYABLES

Particulars	As at 31st March 2021	As at 31st March 2020
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-
Sub-Total	-	-
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises*	136.45417	40.96656
Sub-Total	136.45417	40.96656
Grand Total	136.45417	40.96656

* Outstanding dues of creditors includes payable towards statutory audit fees of INR 40 lakhs.

Note - 15: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st March 2021	As at 31st March 2020
i. Non-Current		
Security Deposits From Consignment Agencies	35.33000	35.33000
Sub-Total	35.33000	35.33000
ii. Current		
Current Maturity of Long term debt	-	-
Interest Accrued but not Due	424.56431	424.56431
Others	570.69519	336.94920
Total	996.25950	761.51351
	1,030.58950	796.84351

Note - 16: PROVISIONS

Particulars	As at 31st March 2021	As at 31st March 2020
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	354.21483	391.91722
Total	354.21483	391.91722
(i) Non Current	291.60785	330.31024
(ii) Current	61.60698	61.60698
Total	354.21483	391.91722

Note - 17: OTHER CURRENT LIABILITIES

Particulars	As at 31st March 2021	As at 31st March 2020
i. Non-current		
(i) Leasehold building liability	152.86963	129.89824
Total	152.86963	129.89824
ii. Current		
(i) Statutory Dues Payable	704.08246	717.89338
(ii) Customer Advances	-	-
(iii) Unpaid Dividend Account#	0.62866	0.62866
(iv) Amount received from CoC	8.46040	-
Total	713.17153	718.52204

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 18: REVENUE FROM OPERATIONS

Particulars	31st March 2021	31st March 2020
Sale of Products	-	327.03255
Sale of Services	-	46.86662
Other Operating Revenue	-	-
Total	-	373.89916
Sale of Products :		
Gross Sale of Products	-	397.56519
Less: Discounts	-	-
Less : Goods & Services Tax	-	(70.53265)
Net Sale of Products	-	327.03255

Note - 19: OTHER INCOME

Particulars	31st March 2021	31st March 2020
Interest Income :		
Interest Income From Financial Assets measured at Amortized Costs	16.70969	22.61957
Dividend Income :		
Dividend Income From Financial Assets Measured at Amortized Costs	-	-
Dividend Income From Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-
Other Items :		
Rental Incomes	-	-
Export Incentives and Benefits	-	-
Unwinding of Interest on Security Deposits	0.17371	169.46825
Revenue Grants	-	-
Other	-	-
Total	16.88340	192.08782

Note - 20: OTHER GAINS/ (LOSSES)

Particulars	31st March 2021	31st March 2020
Net gain/(losses) on disposal of Property, Plant & Equipment	(158.89751)	147.26651
Net foreign exchange gain /(losses)	(55.45430)	154.97959
Other Items	-	-
Total	(214.35181)	302.24610

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 21a: COST OF MATERIAL CONSUMED

Particulars	31st March 2021	31st March 2020
Material and components consumed		
Opening Stock	1,174.49815	1,347.09391
Add: Material Purchased during the year	-	49.55764
Less: Closing Stock	(1,174.49815)	(1,174.49815)
Total	-	223.15340
Details of materials consumed		
Particulars	31st March 2021	31st March 2020
Aluminium	-	142.86297
Tin Free Steel Sheet	-	76.75323
Others	-	2.53719
Total	-	223.15340

Note - 21b: PURCHASE OF STOCK-IN-TRADE

Particulars	31st March 2021	31st March 2020
Tea	-	-
Others	-	-
Sub-Total	-	-

Note - 22: CHANGES IN INVENTORIES

Particulars	31st March 2021	31st March 2020
Opening Stock		
Finished Goods	327.27562	343.27285
Semi-Finished Goods	331.44066	366.87720
Scrap Material	156.72433	152.26717
Sub-Total	815.44061	862.41722
Less:- Closing Stock		
Finished Goods	327.27562	327.27562
Semi-Finished Goods	331.44066	331.44066
Scrap Material	156.72433	156.72433
Sub-Total	815.44061	815.44061
INCREASE(-)/DECREASE(+)	-	46.97661

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 23: OPERATING AND MANUFACTURING EXPENSES

Particulars	31st March 2021	31st March 2020
Consumption of Stores and Consumables	-	6.59350
Power and Fuel	0.11969	47.54740
Processing Charges	-	16.78409
Cleaning Charges	-	9.16854
Carriage Inward	-	2.39360
Other Manufacturing Expenses	-	0.45710
Total	0.11969	82.94422

Note -24: EMPLOYEE BENEFIT EXPENSES

Particulars	31st March 2021	31st March 2020
Salaries, Wages & Bonus	58.66082	200.79375
Contribution to Provident and other Funds	3.21720	25.16978
Workmen & Staff welfare Expenses	31.19735	74.70460
Total	93.07537	300.66812

Note -25: FINANCE COST

Particulars	31st March 2021	31st March 2020
Interest on Borrowings:		
On Fixed Loans	95.95641	206.33874
On Others *	146.17831	334.52370
Interest on finance lease obligations	-	-
Total	242.13472	540.86244

* Interest to others includes interest on other advances.

Note -26: OTHER EXPENSES

Particulars	31st March 2021	31st March 2020
Repairs & Renewals:		
Plant & Machinery	-	1.85429
Building	-	0.06100
Others	-	0.24538
Lease Rent	12.21000	58.41419
Rental Charges other than lease	11.20173	172.97417
Auditors Remuneration	-	17.00000
Insurance	0.06453	0.24000
Rates and related Taxes	-	5.35201
Bank Commission and Banking Administration Charges	0.02057	0.63965
Packing Expenses	-	8.59626
Freight Forwarding & Handling Expenses	12.13702	23.40298
Communication Expenses	0.06066	1.71327
Impairment (loss)/gain on financial assets	78.91192	1,797.15523
Travelling Conveyance	0.00632	24.69964
Miscellaneous Expenses	255.68919	489.65584
Prior period Errors	(0.44054)	7.61604
Donation	-	0.04557
Corporate Social Responsibility Expenses	-	-
CIRP Cost	3.26802	-
Total	373.12942	2,609.66552

Note - 27: DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2021	31st March 2020
As Auditors		
Audit Fees		
Tax Audit Fee	-	17.000000
In other Capacity	-	-
Taxation matters		
Company Law matters	-	-
Certification fees	-	-
Re-imbursement of Expenses	-	-
	-	-
	-	17.000000

Note - 28: CORPORATE SOCIAL RESPONSIBILITY EXPENSES

Particulars	31st March 2021	31st March 2020
Contribution to Charity Foundation	-	-
Outlay on Others CSR Projects	-	-
Total	-	-
Amount required to be spent as per Section 135 of the Act	-	-
Amount spent during the year On :	-	-
(1) Construction or Acquisition of Assets	-	-
(2) On purposes other than (1) above	-	-
Total	-	-
	-	-
Excess/(Short) Amount Spend	-	-
	-	-

(INR' Lakhs)

Note -29 Computation of Tax Base of PPF under Income Tax Act, 1961

[illegible]

Deferred Tax Impact as on 31st March, 2021				
Particulars	Rate (%)	Accounting Base as on 31.03.2021	Tax Base as on 31.12.2021	Closing Deferred Tax (Liability)/Asset as on 31.03.2021
Property, Plant and Equipment	0.27820	4499,70938	1165,30084	-928.00000
Intangible Assets	0.27820	4,9552	0	-1.00000
Employee Benefit Obligation	0.27820	354,21483	0	99.00000
MAT Credit Entitlement	1.00000	0.00000	71,93000	72.00000
Impairment loss/(gain) on financial assets	0.27820	-2182,14551	0	607.00000
Deferred Tax Liability as on 31.03.2021		2676.43422	1237.53018	-151.00000
Deferred Tax Liability as on 31.03.2020				-194.00000
Deferred Tax (Income)/ Expense to be booked during the period ended 31st March, 2021				-43.00000